

Sun Pharmaceuticals Industries Ltd (SUNPHARMA)

Sector: Healthcare

ROE

15.1%

ROCE

15.6%

D/E

0.05x

OPM

26.8%

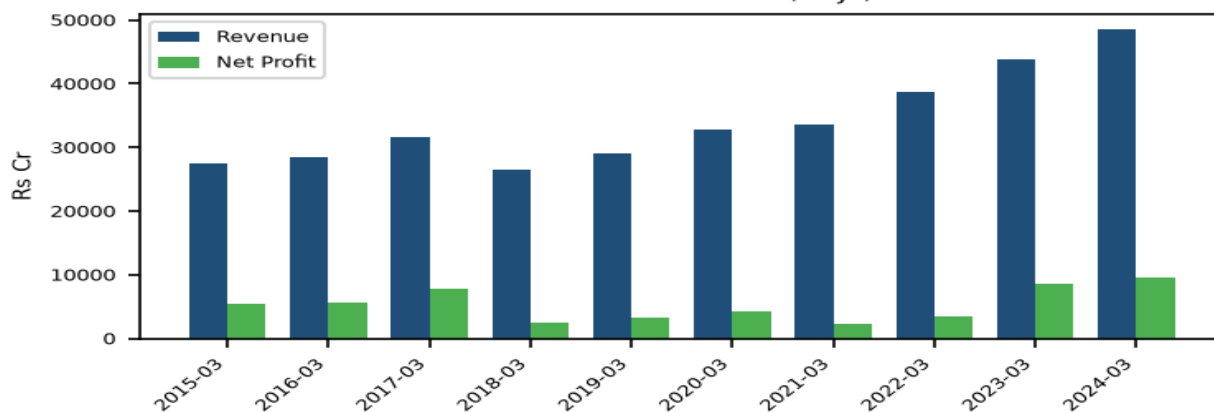
Revenue CAGR 5yr

10.8%

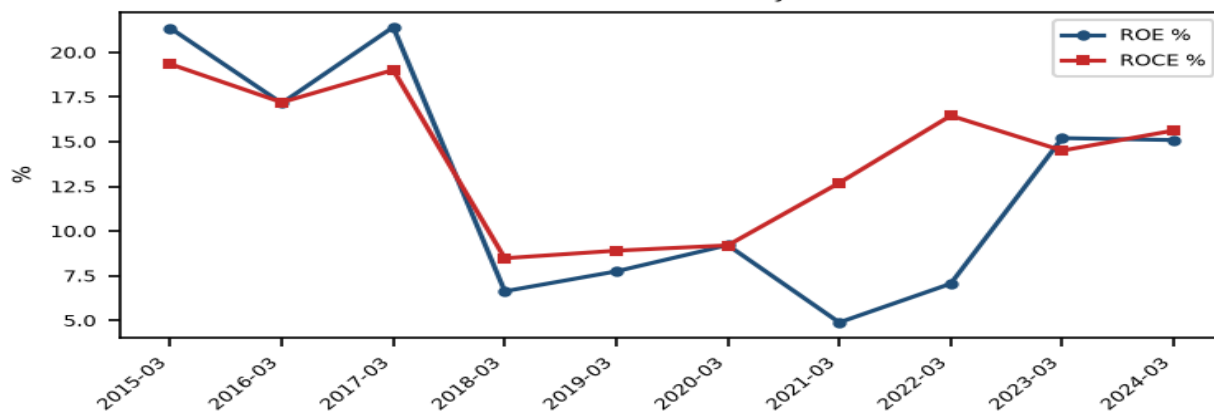
Free Cash Flow

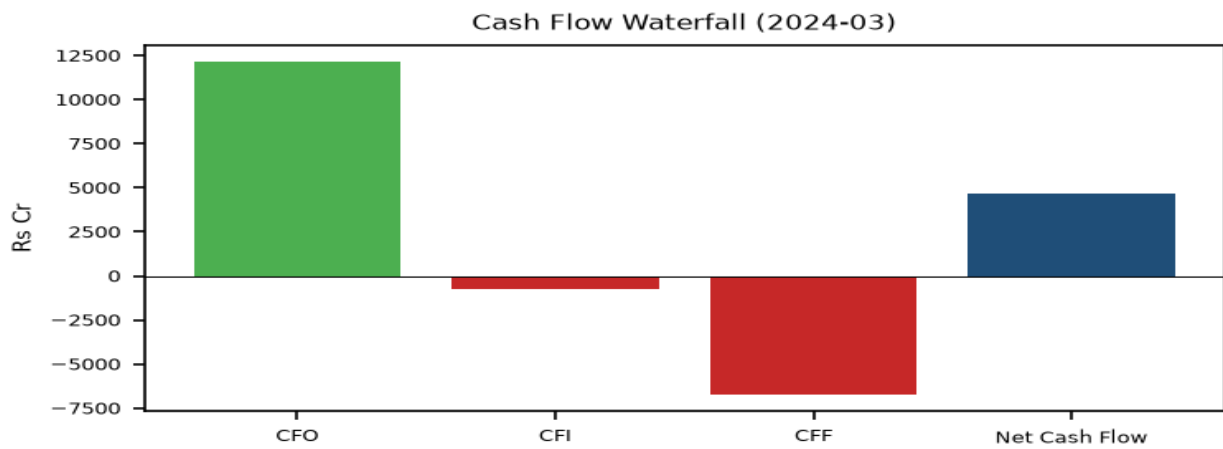
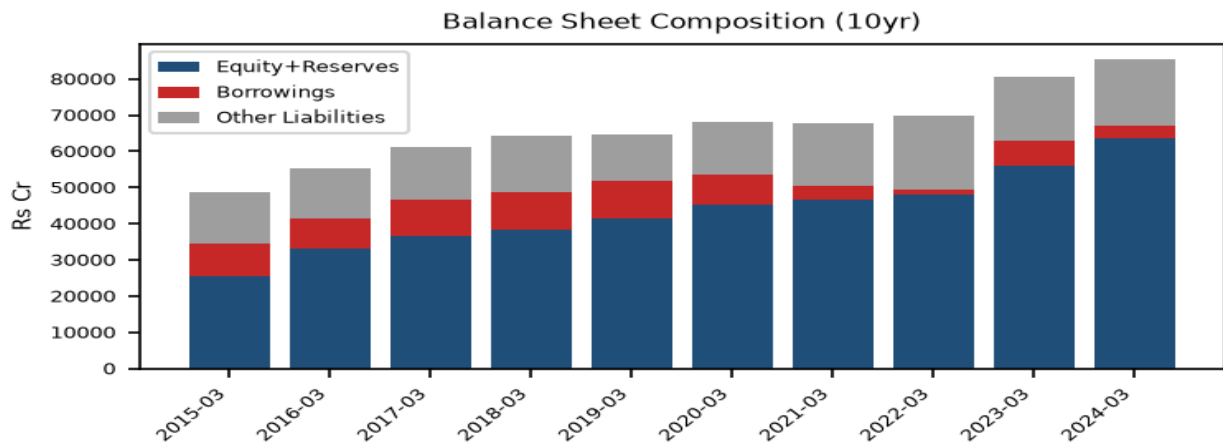
Rs 11,372 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Insufficient historical data available to assess business risks in detail

Capital Allocation: Shareholder Returns